

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 1
Honorable Eunice Lee, Presiding
TBD, Courtroom Clerk
191 North First Street, San Jose, CA 95113

DATE: July 23, 2026 TIME: 9:00 A.M. and 9:01 A.M.

**To contest the ruling, call the Court at (408) 808-6856 before 4:00 P.M.
Make sure to also let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court, Rule 3.1308(a)(1) and Local Rule 8D.**

****Please specify the issue to be contested when calling the Court and counsel****

LAW AND MOTION TENTATIVE RULINGS

FOR APPEARANCES: Department 1 is fully open for in-person hearings. The Court strongly prefers **in-person** appearances for all contested law and motion matters. For all other hearings, appearances must be **in-person or by video**. Department 1 uses Unicorn Digital Courtroom (UDC) platform. Please click on this link if you need to appear remotely and then scroll down to the link for Department 1: <https://santaclara.courts.ca.gov/online-services/remote-hearings>. This system requires advance registration with a case number and hearing date. **Telephonic appearances are prohibited, unless permitted by the Court.** (Local Rule 5). If you must appear virtually, you must use video.

SCHEDULING MOTION HEARINGS: Please go to <https://reservations.scscourt.org> or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri). to reserve a hearing date for your motion before you file and serve it. You must then file your motion papers no more than five court days after reserving the hearing date, or else the date will be released to other cases.

FOR COURT REPORTERS: The Court is no longer able to provide official court reporters for civil proceedings (as of July 24, 2017). If you want to have a court reporter to report your hearing, you must submit the appropriate form, which can be found here:

https://www.scscourt.org/general_info/court_reporters.shtml

RECORDING IS PROHIBITED: As a reminder, most hearings are open to the public, but state and local court rules prohibit recording of court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

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LAW AND MOTION TENTATIVE RULINGS

9:00 A.M.			
<u>LINE 1</u>	22CV392899	Sierra Lumber & Fence Co., Inc. vs Aldofina Gonzalez	Motion for Award of Attorney's Fees and Costs Scroll down to Line 1 for Tentative Ruling.
<u>LINE 2</u>	24CV452583	Christopher Newman vs City of San Jose California et al	Motion for Summary Judgment/ Adjudication OFF CALENDAR. On July 13, 2026, Plaintiff filed a request to dismiss Defendant City of San Jose only. Defendant City filed this motion on April 30, 2026. No opposition was filed. The motion is rendered moot.
<u>LINE 3</u>	25CV458778	Community Michelle Harper vs The Salvation Army	Demurrer Scroll down to Line 3 for Tentative Ruling.
<u>LINE 4</u>	25CV460160	Paul Beckett et al vs Ford Motor Company et al	Petition to Compel Arbitration Scroll down to Line 4 for Tentative Ruling.
<u>LINE 5</u>	25CV464797	Rena Roman vs Hyundai Motor America, a California Corp. et al	Petition to Compel Arbitration OFF CALENDAR. On July 17, 2026, the moving party/Hyundai Motor America filed a notice to withdraw the motion as the issue is MOOT.
<u>LINE 6</u>	25CV468980	Staci Santoro vs Ford Motor Co. et al	Motion for Judgment on Pleadings Scroll down to Line 6 for Tentative Ruling.
<u>LINE 7</u>	25CV471472	American Express National Bank vs Rizalino Leon	Motion to Enter Judgment Scroll down to Line 7 for Tentative Ruling.
<u>LINE 8</u>	25CV473890	Alpha Omega House Corp. vs The Board of Trustees of the Leland Stanford Junior University	Demurrer Scroll down to Line 8 for Tentative Ruling.

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LAW AND MOTION TENTATIVE RULINGS

- 00000 -

9:01 A.M.			
<u>LINE 1</u>	2011-1-CV-202816	Pride Acquisitions, LLC vs B. Tran	Hearing: Return of Warrant Parties to appear.

- 00000 -

9:00 A.M.

Calendar Line # 1

Case Name Sierra Lumber & Fence Co., Inc. vs Aldofina Gonzalez

Case No. 22CV392899

Motion for Award of Attorney's Fees and Costs

I. BACKGROUND

This case stems from a January 3, 2022, Complaint involving a breach of contract, general, and foreclosure of mechanic's liens. (Complaint). Plaintiff Sierra Lumber & Fence Company, Inc. ("Sierra") sought an entry of default judgment against Defendant Aldofina Gonzalez ("Gonzalez") on March 4, 2022. The Honorable Sunil Kulkarni entered default judgment on July 19, 2023 for Plaintiff and against the defendant in the amount of \$10,453.84, which comprised of \$6,791.00 in underlying damages; \$1,207.47 in attorney's fees; \$1,105.33 in costs; and \$1,350.05 in pre-judgment interest set at 18% per contract. (Default Judgment). On January 19, 2024, notice was filed that Pacific State Industries, Inc. ("Pacific") was assigned the judgment. (Notice of Assignment of Judgment). On March 22, 2024, the Honorable Socrates Manoukian authorized an enforcement of judgment and awarded post-judgment attorney's fees as well as \$1,000.00 to plaintiff's counsel.

Memorandum of costs were filed regarding attorney's fees and costs on March 25, 2024 and an amended memorandum of costs on April 12, 2024 seeking \$13,600.86 comprised of \$10,463.89 in attorney's fees and \$2,390.51 in costs for filing fee, postage, clerk's fee, recorder fees, copies, and process servers. Subsequent motions for an order turning over and authorizing the levy were filed and granted. On September 9, 2024, the Honorable Shella Deen authorized a notice of entry of judgment and ordered the debtor to serve code-compliant post-judgment interrogatories within fifteen days. Pacific then filed a motion for sanctions for the debtor's failure to comply with the court's September 9, 2024 order, and on December 12, 2024, Judge Deen authorized sanctions in the amount of \$2,035.00 against the debtor. On November 6, 2025, Judge Deen issued a \$1,500.00 bench warrant for the defendant's failure to appear for an order for examination ("OEX"). The warrant was issued on January 26, 2026. On June 4, 2026, Defendant appeared and was served with another OEX and was ordered to appear at the next court date.

Before the Court is Plaintiff Sierra Lumber & Fence Company, Inc.'s ("Sierra") motion for award of attorney's fees and costs arising from enforcing a judgment. On November 12, 2025, Plaintiff Sierra filed this motion and the motion was accompanied by a proof of service indicating mail and electronic service to Defendant Aldofina Gonzalez on that same day. On June 9, 2026, Plaintiff filed a second supplemental declaration in support of the amended motion for updated attorney's fees and cost, which was filed on June 16, 2026. The Declaration and motion was accompanied by a proofs of services indicating electronic mail service on the respective filing dates.

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 10, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court has carefully reviewed the following: moving papers, including: notice of motion for attorney's fees and costs (totaling 3 pages); memorandum of points and authorities in support of the plaintiff's motion (totaling 6 pages); Declaration of Joseph P. Thompson in support of plaintiff's motion and attached Exhibits JJ-TT (totaling 72 pages); Supplemental Declaration of Thompson in support of the motion and attached Exhibits UU-WW (totaling 42 pages); Plaintiff's Amended Motion for attorney's fees and costs (totaling 5 pages); Declaration of

Thompson's Second Supplemental in support of plaintiff's motion and attached Exhibit XX (totaling 12 pages); proof of services (totaling 2 pages); and the pleadings.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 685.040, attorney's fees incurred in enforcing a judgment are included as costs collectible under this title if the underlying judgment includes an award of attorney's fees to the judgment creditor pursuant to subparagraph (A) of paragraph (10) of subdivision (a) of Section 1033.5.

Code of Civil Procedure section 685.080 provides the procedural requirements of a motion for post-judgment fees as follows:

- (a) The judgment creditor may claim costs authorized by Section 685.040 by noticed motion. The motion shall be made before the judgment is satisfied in full, but not later than two years after the costs have been incurred. The costs claimed under this section may include, but are not limited to, costs that may be claimed under Section 685.070 and costs incurred but not approved by the court or referee in a proceeding under Chapter 6 (commencing with Section 708.010) of Division 2.
- (b) The notice of motion shall describe the costs claimed, shall state their amount, and shall be supported by an affidavit of a person who has knowledge of the facts stating that to the person's best knowledge and belief the costs are correct, are reasonable and necessary, and have not been satisfied. The notice of motion shall be served on the judgment debtor. Service shall be made personally or by mail.
- (c) The court shall make an order allowing or disallowing the costs to the extent justified under the circumstances of the case.

Plaintiff seeks to recover both fees and sanctions under Code of Civil Procedure section 708.170, which the Court must issue absent "good cause" for failure to appear. Under section 708.710:

- (a) If an order requiring a person to appear for an examination under subdivision (e) of Section 708.110 was served by a sheriff, marshal, a person specially appointed by the court in the order, or a registered process server, and the person fails to appear:
 - (1) The court may do either of the following:
 - (A) Pursuant to a warrant, have the person brought before the court to answer for the failure to appear and may punish the person for contempt.
 - (B) Issue a warrant for the arrest of the person who failed to appear as required by the court order, pursuant to Section 1993.
 - (2) If the person's failure to appear is without good cause, the judgment creditor shall be awarded reasonable attorney's fees incurred in the examination proceeding. Attorney's fees awarded against the judgment debtor shall be added to and become part of the principal amount of the judgment.

If the underlying judgment includes an award of contract attorney fees, attorney fees incurred by the judgment creditor in enforcing the judgment are also recoverable as costs. (Code of Civ. Proc., §685.040; *Globalist Internet Technologies, Inc. v. Reda* (2008) 167 Cal.App.4th 1267, 1274).

III. ANALYSIS

Here, the underlying judgment was issued pursuant to a default judgment authorized by Judge Kulkarni on July 19, 2023 in the amount of \$10,453.84. Subsequently, motions to enforce the judgment and sanctions were ordered by Judge Manoukian on March 22, 2024 and sanctions were awarded in the amount of \$1,000.00. (Declaration of

Thompson, at p. 2). and Judge Deen on September 9, 2024 and on June 2, 2025, Judge Deen awarded sanctions in the amount of \$2,035.00. (*Id.*).Plaintiff asserts that the defendant has failed to comply with court orders and has failed to make any payments, and thus filed the noticed motion. (*Id.*).

Plaintiff is only entitled to collect the “reasonable and necessary costs” of enforcing a judgment, including attorneys’ fees. (Code of Civ. Proc., § 685.040). Plaintiff asserts that its judgment included an attorney’s fees clause as did the underlying judgment. (Plaintiff’s memorandum of points and authorities, p.2). It submits a declaration from its counsel and requests \$23,672.35 in attorney’s fees, comprised of 59.93 total hours at the hourly rate of \$395.00. It argues that since March 12, 2024 it had to engage in locating the defendant and prepare and file this motion to enforce that justify the additional imposition of fees. The last memorandum of costs was submitted on June 4, 2025 at the rate of \$2,390.51.

Plaintiff seeks to recover both fees and costs in the amount of \$23,672.35 (Amended Motion, p. 2) under Code of Civil Procedure section 708.170, for the defendant/debtor’s failure to obey the following Court orders from March 12, 2024 to November 11, 2025: “(1) Order Granting Motion to Compel Debtors to Answer Post-Judgment Interrogatories, etc., (“Order to Compel”) and (2) Order Granting Motion for Award of Sanctions Against Judgment Debtors (“Sanctions Order”), filed on 6-2-2025, nor has Debtor ALDOFINA GONZALEZ obeyed the Court’s Order for Appearance and Examination—Enforcement of Judgment (“OEX”), filed on 8-20-2025, copies of all three of which were personally served on ALDOFINA GONZALEZ on 8-28-2025.” (Plaintiff’s memorandum of points and authorities, p.2)(emphasis removed). Plaintiff asserts that the defendant’s failure to comply with “. . . Court’s orders reveal their bad faith litigation tactics, which cause Pacific States cost of litigation to increase unnecessarily. . .” as well as caused unnecessary consumption of time and judicial resources. (*Id.*) Plaintiff emphasizes that section 708.170(a) states that upon finding an examinee did not have good cause for failing to appear, the court must award judgment creditor’s reasonable attorney’s fees incurred in the examination proceedings. (*Id.*, at p. 4). The plaintiff sets forth efforts to meet-and-confer with the defendant in attempt to resolve the matter to no avail. (Declaration of Thompson, at p.3; Exhibits JJ, KK, LL, MM, NN, OO, PP, QQ, and RR).

No opposition was filed. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (Rule of Court, Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The court finds that the Plaintiff incurred the fees and their efforts were reasonable and necessary for enforcing the judgment. The Court finds the hourly rate of \$395.00 as requested by the plaintiff reasonable. Upon review of the 59.93 hours, the court reduces 12.9 hours from March 12, 2024 through June 9, 2026 (Exhibits SS and TT) and that it sees a duplicative or administrative. Thus, the Court GRANTS attorney’s fees in the amount of \$21,736.85 for 47.03 hours at the hourly rate of \$395.00.

IV. CONCLUSION

Based on the foregoing, and the motion being unopposed, the Court GRANTS attorney’s fees in the amount of \$18,576.8585 for 47.03 hours at the hourly rate of \$395.00.

The Court will prepare the formal Order.

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Calendar Line # 3
Case Name Michelle Harper vs The Salvation Army
Case No. 25CV458778
Demurrer Before the court is defendant The Salvation Army’s demurrer to plaintiff Michelle Harper’s second amended complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> Plaintiff Michelle Harper (“Harper”) began working for defendant The Salvation Army (erroneously sued as The Salvation Army ARC San Jose; hereafter, “Salvation Army”) in or around July 2023 as a Sales Associate at defendant’s location in San Jose. (Second Amended Complaint (“SAC”), ¶9). Plaintiff Harper’s primary responsibility was stacking racks with donated clothing and ringing sales for which she earned \$18 per hour. (<i>Id.</i>). On or about December 31, 2023, plaintiff Harper began to feel symptoms associated with COVID-19 and later tested positive. (SAC, ¶10). Plaintiff Harper immediately notified the store manager, Richard, via text and he advised plaintiff Harper she would need to provide a negative test before she would be allowed to return to work. (<i>Id.</i>). Plaintiff Harper’s symptoms did not improve and after additional testing, plaintiff Harper was believed to have long-COVID which interfered with her major life activities. (SAC, ¶11). Plaintiff Harper’s physician recommended she perform “light duty” work. (SAC, ¶12). Plaintiff Harper provided defendant Salvation Army with a copy of her doctor’s note, but defendant Salvation Army failed to engage in any dialogue or take any steps to determine whether defendant Salvation Army could accommodate plaintiff Harper’s restrictions. Defendant Salvation Army put plaintiff Harper on leave through February 16, 2024. (SAC, ¶¶12 – 14). Plaintiff Harper submitted doctor’s notes extending her leave through March 1, 2024. (SAC, ¶15). However, on or about February 21, 2024, plaintiff Harper received paperwork letting her know her employment had been terminated with the stated reason that plaintiff Harper “failed to” provide a doctor’s note extending her leave beyond February 16, 2024. (SAC, ¶16). On February 13, 2025, plaintiff Harper filed a complaint against defendant Salvation Army. On April 14, 2025, defendant Salvation Army filed a demurrer and motion to strike a portion of plaintiff Harper’s complaint. On June 30, 2025, plaintiff Harper a FAC which asserted the following causes of action: (1) Unruh Civil Rights Act, California Civil Code §51 et seq. (2) Bane Civil Rights Act, California Civil Code §52.1 (3) California Disabled Persons Act, California Civil Code §54 et seq. (4) Wrongful Termination in Violation of Public Policy On August 4, 2025, plaintiff filed an amendment substituting The Salvation Army for Doe defendant number one. On August 8, 2025, defendant Salvation Army filed a demurrer to plaintiff Harper’s FAC. On September 9, 2025, the court issued an order sustaining, without leave to amend, defendant Salvation Army’s demurrer to the first through third causes of action of plaintiff’s FAC and sustaining, with leave to amend, defendant Salvation Army’s demurrer to the fourth cause of action of plaintiff’s FAC. On October 3, 2025, plaintiff Harper filed the now operative SAC which asserts a single cause of action for wrongful termination in violation of public policy.

On October 29, 2025, defendant Salvation Army filed the motion now before the court, a demurrer to plaintiff Harper's SAC.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 430.10, a party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e)). A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 (*Hahn*)). When considering demurrers, courts accept all well pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078). In ruling on a demurrer, the Court treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)).

"A general demurrer will lie where the complaint 'has included allegations that clearly disclose some defense or bar to recovery.' [Citation.]" (*Cryolife, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1145, 1152). Defendants Chen and YESI generally demur to Plaintiff's first cause of action for negligence because the FAC includes allegations that Plaintiff released defendant Chen and other parties from all liability for the accident. (FAC, ¶12 and Exh. A). "The existence of a valid release is a complete defense to a tort action against the releasee." (*Rodriguez v. Oto* (2013) 212 Cal.App.4th 1020, 1026 (*Rodriguez*)).

"[W]hile an at-will employee may be terminated for no reason, or for an arbitrary or irrational reason, there can be no right to terminate for an unlawful reason or a purpose that contravenes fundamental public policy. Any other conclusion would sanction lawlessness, which courts by their very nature are bound to oppose.'" (*Casella v. SouthWest Dealer Services, Inc.* (2007) 157 Cal.App.4th 1127, 1138–1139 [69 Cal. Rptr. 3d 445]). "The elements of a claim for wrongful discharge in violation of public policy are (1) an employer-employee relationship, (2) the employer terminated the plaintiff's employment, (3) the termination was substantially motivated by a violation of public policy, and (4) the discharge caused the plaintiff harm." (*Yau v. Allen* (2014) 229 Cal.App.4th 144, 154 [176 Cal. Rptr. 3d 824]).

(*Garcia-Brower v. Premier Automotive Imports of CA, LLC* (2020) 55 Cal.App.5th 961, 973; see also CACI, No. 2430).

III. ANALYSIS

In demurring to plaintiff Harper's SAC, defendant Salvation Army contends the cause of action for wrongful termination in violation of public policy fails because plaintiff Harper expressly concedes in her SAC that she "cannot allege violations of the FEHA against [Salvation Army] because it's a religious employer." (SAC, ¶22. See also Request for Judicial Notice in Support of Defendant The Salvation Army's Demurrer, etc., Exhibit 1).¹ Employers that are exempt from FEHA are, in turn, exempt from *Tameny* wrongful termination claims rooted in violations of FEHA.

[A] public policy purportedly tethered to the FEHA statutes does not give rise to a cause of action for a wrongful termination in violation of public policy when the claim would be precluded under the FEHA because the act specifically exempts the defendant from the definition of employer.

(*Henry v. Red Hill Evangelical Lutheran Church of Tustin* (2011) 201 Cal.App.4th 1041, 1050; see also *Kelly v. Methodist Hospital of So. California* (2000) 22 Cal.4th 1108, 1126—hospital exempt from a claim for wrongful termination in violation of public policy based upon the public policy expressed in FEHA because hospital exempt

¹ Defendant Salvation Army's request for judicial notice that it is a religious corporation and is not organized for the private gain of any person is GRANTED. Evid. Code, §452, subd. (c); *O'Gara Coach Co., LLC v. Ra* (2019) 30 Cal.App.5th 1115, 1121—granting judicial notice of documents filed with the Secretary of State).

from FEHA as a religious organization; see also *Jennings v. Marralle* (1994) 8 Cal.4th 121, 135–136—“It would be unreasonable to expect employers who are expressly exempted from the FEHA ban on age discrimination to nonetheless realize that they must comply with the law from which they are exempted under pain of possible tort liability.”)

In opposition, plaintiff Harper suggests disability discrimination can be tethered to other legislative enactments apart from FEHA, but no such constitutional or statutory provisions have been alleged to be applicable or otherwise identified as being applicable in her SAC. That defendant can theoretically be liable is not the standard on a demurrer.

Plaintiff has the burden to show in what manner she can amend its complaint and how that amendment will change the legal effect of the pleading. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349). In her opposition, plaintiff Harper contends she has established non-FEHA bases for her wrongful termination claim, but the court is not persuaded that plaintiff Harper has met her burden.

IV. CONCLUSION

Based on the foregoing, defendant Salvation Army’s demurrer to plaintiff Harper’s SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for wrongful termination in violation of public policy is SUSTAINED WITHOUT LEAVE TO AMEND.

The Court will prepare the formal Order.

Calendar Line # 4

Case Name Paul Beckett et al vs Ford Motor Company et al

Case No. 25CV460160

Petition to Compel Arbitration

I. BACKGROUND

Plaintiffs Paul T. Beckett and Ann K. Beckett purchased a 2022 Ford Mustang, Vehicle Identification Number 3FMTK2R71NMA02648 (“Subject Vehicle”) in May 2022 from Cypress Coast Ford Lincoln Mercury (“Dealership”). (Complaint at ¶ 7). Plaintiffs delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (*Id.* at ¶ 59). Plaintiffs allege that Dealership “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (*Id.* at ¶ 61). Plaintiffs sued Dealership and Ford Motor Company in March 2025. The sole cause of action alleged against Dealership is for negligent repair.

At issue is Dealership’s petition to compel arbitration, based on the Retail Installment Sales Contract (“RISC”) signed by Plaintiffs and Dealership when Plaintiffs purchased the Subject Vehicle. Having reviewed the language of the RISC’s arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action.

II. LEGAL STANDARD

Dealership maintains that the Federal Arbitration Act (“FAA”) governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Motion to Compel Arbitration at p. 6:24-7:1). The arbitration provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration.” (Declaration of Trina Clayton [“Clayton Decl.”], Exh. A at p. 7). Under the FAA, the court’s role is limited to determining “(1)

whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170).

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060). The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755).

III. ANALYSIS

A. A VALID ARBITRATION AGREEMENT EXISTS

The arbitration provision in the RISC provides, in relevant part:

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Declaration of Clayton, Exh. A at p. 7). Plaintiffs do not dispute that they signed the RISC when they purchased the Subject Vehicle. Plaintiffs signed and acknowledged the following notice of the arbitration provision: “**Agreement to Arbitrate.** By signing below, you agree that pursuant to the Arbitration Provision on page 7 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (*Id.* at p. 1). The RISC further drew the arbitration provision to Plaintiffs’ attention through the following disclaimer: “. . . YOU ACKNOWLEDGE THAT YOU HAVE READ BOTH SIDES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ON PAGE 7 OF THIS CONTRACT, BEFORE SIGNING BELOW.” (*Id.* at p. 6). Plaintiffs’ signatures on those sections of the RISC indicates express assent to the arbitration provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“ ‘ ‘A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.’ ”]).

Plaintiffs argue Dealership failed to properly authenticate the RISC and thus failed to meet its burden of proving the existence of a valid agreement to arbitrate. “The moving party ‘can meet its initial burden by attaching to the

[motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion.' ” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted). Here, Dealership attached a copy of the RISC signed by Plaintiffs as Exhibit A to the Declaration of Trina Clayton. Dealership has also set forth the terms of the arbitration provision in the motion itself. (Motion to Compel Arbitration at pp. 3:18-4:11). In any event, “[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Gamboa, supra*, 72 Cal.App.5th at p. 165-166). Dealership has shown a valid agreement to arbitrate.

B. THE SCOPE OF THE ARBITRATION AGREEMENT COVERS PLAINTIFF'S CLAIMS

Here, the arbitration provision broadly applies to “[a]ny claim or dispute, whether in contract, tort, statute or otherwise. . . , between you and us. . . , which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship.” (Declaration of Clayton, Exh. A at p. 7). Plaintiffs’ sole cause of action against Dealership is a tort action for negligent repair. Plaintiffs and Dealership are the parties to the transaction. Plaintiffs’ action relates to the condition of the vehicle, namely the condition of the vehicle following repair by Dealership. That the allegedly negligent repair occurred after the parties signed the RISC is ultimately irrelevant because the arbitration provision states it applies to both “this contract” and “any resulting transaction or relationship” between the parties. Plaintiffs’ claim against Dealership is covered by the arbitration provision.

Plaintiffs rely on *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to argue “warranty performance is not arbitrable through the form Sales Contract proffered by [Dealership].” (Opposition at p. 2:8-10). That opinion is distinguishable. *Ford Motor Warranty Cases* involved an attempt by an automobile manufacturer to compel arbitration based on a sales contract between a buyer and a dealership to which the manufacturer was not a party. The Supreme Court rejected the manufacturer’s attempt to compel arbitration on a third party equitable estoppel theory. (*Id.* at p. 1126). By contrast, here the entity petitioning to compel arbitration is a party to the contract containing the arbitration provision. The RISC is an agreement Plaintiffs entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiffs’ claims.

The court does not reach Dealership’s arguments about lack of waiver and lack of unconscionability. Plaintiffs forfeited any argument about waiver and unconscionability by not addressing Dealership’s arguments on those points.

C. THE ACTION IS STAYED IN ITS ENTIRETY

Dealership requests a stay of the entire action. As Dealership notes, Plaintiffs have sued two entities, Ford Motor Company and Dealership, for different causes of action. Dealership argues “[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective.” (Reply at pp. 8:28-9:1). Plaintiffs have not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

IV. CONCLUSION

Based on the foregoing, the petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the formal Order.

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Calendar Line # 6
Case Name Staci A. Santoro vs Ford Motor Co., et al
Case No. 25CV468980
Motion for Judgment on Pleadings Before the court is defendant Ford Motor Company’s motion for judgment on the pleadings. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> On or about August 20, 2023, plaintiff Staci A. Santoro (“Santoro”) entered into a warranty contract with defendant Ford Motor Company (“Ford”) regarding a 2023 Ford Edge, vehicle identification number 2FMPK4AP5PBA5082 (“Subject Vehicle”) manufactured and/or distributed by defendant Ford. (Complaint, ¶¶7 – 8 and Exh. A). Defects and nonconformities to warranty manifested themselves within the applicable express warranty period including, but not limited to, engine defects, transmission defects, electrical defects, among other defects and non-conformities. (Complaint, ¶12). Plaintiff Santoro alleges defendant Ford concealed a known defect from her. (Complaint, ¶52). The 2.7L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in the loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (Complaint, ¶53). Prior to sale of the Subject Vehicle, defendant Ford knew or should have known about the Engine Defect through its exclusive knowledge of non-public, internal data including pre-release test data, early consumer complaints to defendant Ford’s dealers, dealership repair orders, testing conducted in response to complaints, and other internal sources of information possessed exclusively by defendant Ford and its agents. (Complaint, ¶¶57, 59, 62, 63, 64, 65, 76). Nevertheless, defendant Ford and its agents actively concealed the Engine Defect and failed to disclose this defect to plaintiff at the time of her purchase of the Subject Vehicle or thereafter. (<i>Id.</i>) Defendant Ford either refused to acknowledge the existence of the defects or performed superficial and ineffectual repairs that masked the symptoms of the Engine Defect. (Complaint, ¶¶59, 75, 77, 78). If plaintiff knew about these defects at the time of sale, plaintiff would not have purchased the Subject Vehicle. (Complaint, ¶60). On June 24, 2025, plaintiff Santoro filed a complaint against defendant Ford and Future Ford Lincoln of Roseville (“Roseville Ford”) asserting causes of action for: (1) Violation of Subdivision (d) of Civil Code Section 1793.2 [against defendant Ford] (2) Violation of Subdivision (b) of Civil Code Section 1793.2 [against defendant Ford] (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2 [against defendant Ford] (4) Breach of the Implied Warranty of Merchantability [against defendant Ford] (5) Negligent Repair [against defendant Roseville Ford] (6) Fraudulent Inducement – Concealment [against defendant Ford] On September 29, 2025, defendant Ford filed an Answer to plaintiff Santoro’s Complaint. On October 29, 2025, defendant Ford filed the motion now before the court, a motion for judgment on the pleadings directed at plaintiff Santoro’s sixth cause of action for fraudulent inducement – concealment. <u>II. LEGAL STANDARD</u> <u>A. PROCEDURAL VIOLATION</u> As a preliminary matter, the court notes that plaintiff Santoro’s opposition is untimely filed and served. Code of Civil

Procedure section 1005, subdivision (b) states, “All papers opposing a motion . . . shall be filed with the court and a copy served on each party at least nine court days . . . before the hearing.” Based on a hearing date of July 23, 2026, plaintiff Santoro’s opposition had to be filed and served no later than July 10, 2026. Plaintiff Santoro did not file and serve opposition until July 14, 2026, two court days late. Plaintiff’s counsel submitted a declaration apologizing for the late filing citing only “the press of business” as the reason for the delay.²

California Rules of Court, rule 3.1300, subdivision (d) states, “No paper may be rejected for filing on the ground that it was untimely submitted for filing. If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must so indicate.” Since the court has discretion to consider a late filed paper, since defendant Ford has not suffered any prejudice from the late filing, and to avoid the expenditure of any further judicial resources, the court will look past this procedural violation and consider the opposition on its merits. However, plaintiff Santoro and her counsel are hereby admonished for the procedural violation. Any future violation may result in the court’s refusal to consider the untimely filed papers.

B. JUDGMENT ON THE PLEADINGS

A motion by a defendant may be made on the grounds that (1) the court “lacks jurisdiction of the subject of one or more of the causes of action alleged” or (2) the complaint or cross-complaint “does not state facts sufficient to constitute a cause of action against that defendant.” (Code of Civ. Proc. § 438(c)).

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact.

(*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*)).

III. ANALYSIS

A. DUTY TO DISCLOSE

Defendant Ford contends the sixth cause of action for fraudulent concealment is defective because plaintiff Santoro has not pleaded any facts establishing defendant Ford had a duty to disclose. “The general rule for liability for nondisclosure is that even if material facts are known to one party and not the other, failure to disclose those facts is not actionable fraud unless there is some fiduciary or confidential relationship giving rise to a duty to disclose.” (*La Jolla Village Homeowners’ Assn. v. Superior Court* (1989) 212 Cal.App.3d 1131, 1151). To maintain a cause of action for fraud through nondisclosure or concealment of facts, a plaintiff must demonstrate that the defendant was under a legal duty to disclose those facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845). “Where . . . there is no fiduciary relationship, the duty to disclose generally presupposes a relationship grounded in some sort of transaction between the parties. Thus, a duty to disclose may arise from the relationship between seller and buyer . . . or parties entering into any kind of contractual agreement.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337, internal citations omitted). In *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311-312 (*Bigler*) the court wrote:

Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a “transaction” between the plaintiff and the defendant: “In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least

² See ¶2 to the Code of Civil Procedure section 473(b) Declaration of Jacob Lister Regarding Plaintiff’s Late-Filed Opposition to Motion for Judgment on the Pleadings.

three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294 [85 Cal. Rptr. 444, 466 P.2d 996], italics added, fns. omitted.). Other cases have described the requisite relationship with the same term. (See, e.g., *Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1187 [175 Cal. Rptr. 3d 820] (*Hoffman*); *LiMandri, supra*, 52 Cal.App.4th at p. 337 [“As a matter of common sense, such a relationship can only come into being as a result of some sort of transaction between the parties.”]). ***Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.*** (Emphasis added).

Defendant Ford contends there is no direct relationship alleged between it and plaintiff Santoro because plaintiff Santoro does not allege she purchased the Subject Vehicle directly from Toyota. However, earlier in *Bigler*, the court cites with approval the following: “ ‘A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as “‘seller and buyer, employer and prospective employee, doctor and patient, **or parties entering into any kind of contractual arrangement.**”’ ” [Citation.]” (*Bigler, supra*, 7 Cal.App.5th at p. 311; emphasis added). Here, although plaintiff Santoro does not allege she directly purchased the Subject Vehicle from defendant Ford, plaintiff Santoro has alleged the existence of a contractual agreement (express written warranty) with defendant Ford and thus, a basis upon which a duty to disclose arises. (See Complaint, ¶¶ 7 – 8 and Exh. A).

B. DAMAGES

Defendant Ford contends plaintiff Santoro has not sufficiently alleged that she suffered any damage as a result of the alleged fraud. Defendant Ford hones in on that portion of paragraph 61 of the complaint which alleges, “Plaintiff was harmed and suffered actual damages in that the Subject Vehicle’s engine is substantially certain to fail before its expected useful life has run.” Defendant Ford contends this allegation lacks any factual detail as to the character or amount of those damages or how such damages could be calculated.

Defendant Ford’s focus on this one allegation overlooks plaintiff Santoro’s earlier allegation that had she known about the defects at the time of sale, “Plaintiff would not have purchased the Subject Vehicle.” This is a sufficient statement of a monetary damage that plaintiff suffered as a result of the alleged fraud. Although specificity is required in pleading fraud, the amount of such damage (purchase price) is reasonably inferred.

C. ECONOMIC LOSS

Finally, defendant Ford contends the claim for fraudulent concealment is barred by the economic loss rule. The economic loss rule provides that “where a purchaser’s expectations in a sale are frustrated because the product he brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses.” (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*)). This doctrine hinges on a “distinction drawn between transactions involving the sales of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts.” (*Ibid.*). The rule requires a purchaser to recover solely in contract for purely economic loss due to disappointed expectations, unless the purchaser can demonstrate harm above and beyond a broken contractual promise. (*Ibid.*).

Insofar as plaintiff Santoro has asserted fraudulent concealment inducing her purchase of the Subject Vehicle, plaintiff’s sixth cause of action is not barred by the economic loss rule. (See *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 923-924—“Not all tort claims for monetary losses between contractual parties are barred by the

economic loss rule. But such claims are barred when they arise from—or are not independent of—the parties' underlying contracts. (See *Robinson, supra*, 34 Cal.4th at p. 991 [holding that “the economic loss rule does not bar [the plaintiff's] fraud and intentional misrepresentation claims because they were independent of [the defendant's] breach of contract”]). *Rattagan* did not address application of the economic loss rule to claims of fraudulent inducement by concealment. (See *Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12—“This court has granted review³ in two other cases—*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 [300 Cal. Rptr. 3d 715], review granted February 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) (nonpub. opn.), review granted April 20, 2022, S273170—both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.”) The California Supreme Court has saved that discussion for another day.

The court declines to follow the federal trial court decisions relied upon by defendant Ford. While instructive and perhaps even persuasive, “A written trial court ruling has no precedential value.” (*Santa Ana Hospital Med. Ctr. v. Belshe* (1997) 56 Cal.App.4th 819, 831; *Budrow v. Dave & Buster's of California* (2009) 171 Cal.App.4th 875, 885; *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761; *In re Molz* (2015) 127 Cal.App.4th 836, 845).

IV. CONCLUSION

Based on the foregoing, the defendant’s motion for judgment on the pleadings is DENIED. The Court will prepare the Order.

Calendar Line # 7

Case Name American Express National Bank vs Rizalino Leon

Case No. 25CV471472

Motion to Enter Judgment

I. BACKGROUND

This collections case stems from a non-payment of a credit card account. On July 25, 2025, Plaintiff American Express National Bank (“Bank”) filed a Complaint against Defendant Rizalino Leon (“Leon”) for the outstanding debt and alleged damages in the amount of \$10,875.27 and costs.

On September 4, 2025, the parties filed a Notice of Settlement and Stipulation for Entry of Judgment Pending Performance pursuant to Code of Civil Procedure section 664.6. (Notice of Settlement; Stipulation; and Declaration of Ren, p. 2; Exhibit A). Defendant Leon signed the agreement on August 28, 2025, and the plaintiff signed the agreement on August 29, 2025. (Stipulation, at p. 2). The settlement agreement set forth that the defendant was indebted to Plaintiff in the amount of \$10,875.27 relative to an account ending in 1007. (*Id.*). Defendant agreed to pay Plaintiff \$8,160.00 to resolve the action. (*Id.*; Declaration of Ren, p. 2; Exhibit A). The settlement agreement set forth a payment plan starting on or before September 10, 2025 to August 10, 2027, comprising of twenty-four (24) monthly payments in the amount of \$340.00 per month. (*Id.*, at p. 2-3). The parties stipulated that in the event that the defendant failed to make the scheduled payments, the defendant would be in default. (*Id.*). The agreement included an understanding that upon default, the plaintiff could seek to enforce the judgment pursuant to section 664.6 in the amount of \$10,875.27, plus costs, and less any amounts received by the defendant. The agreement expressly stated that the plaintiff could seek a motion or ex parte application to enforce

³ Review of these two decisions has since been dismissed. (*Dhital v. Nissan North America, Inc.* (2024) 327 Cal.Rptr.3d 898 [559 P.3d 1083]; *KIA America, Inc. v. Superior Court* (Dec. 18, 2024, No. S273170) ___ Cal.5th ___ [2024 Cal. LEXIS 7098]).

the agreement for the balance and costs, and less payments made. (*Id.*). Plaintiff asserts that Defendant failed to make payments per the settlement agreement. (Declaration of Ren, at p. 2).

On October 24, 2025, Plaintiff American Express National Bank (“Bank”) filed this motion to enter judgment pursuant to Code of Civil Procedure section 664.6. The motion was accompanied by a proof of service indicating mail service to defense counsel on that same day.

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 10 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court has carefully reviewed the following: moving papers, including: Plaintiff’s notice of motion to enter judgment (totaling 3 pages); memorandum of points and authorities in support of the plaintiff’s motion (totaling 3 pages); Declaration of Zhen Ren and attached Exhibit A in support of the plaintiff’s motion; proof of service; and the pleadings.

II. LEGAL STANDARD

Code of Civil Procedure section 664.6 provides in relevant part:

“(a) If parties to pending litigation stipulate, in a writing signed by the parties outside the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.

(b) For purposes of this section, a writing is signed by a party if it is signed by any of the following:

- (1) The party.
- (2) An attorney who represents the party.
- (3) If an insurer is defending and indemnifying a party to the action, an agent who is authorized in writing by the insurer to sign on the party’s behalf. This paragraph does not apply if the party whom the insurer is defending would be liable under the terms of the settlement for any amount above the policy limits.”

Strict compliance with the statutory requirements is necessary before a court can enforce a settlement agreement under this statute. (*Sully-Miller Contracting Co. v. Gledson/Cashman Construction, Inc.* (2002) 103 Cal.App.4th 30, 37). To enforce a written settlement agreement under Code of Civil Procedure section 664.6, the following three elements must be met: (1) the parties must have come to a meeting of the minds on all material points; (2) there must be a writing that contains the material terms of the agreement; and (3) the writing must be signed by the parties. (*Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, 797-98).

Enforcement under section 664.6 “require[s] the signatures of the parties seeking to enforce the agreement under [Code of Civil Procedure] section 664.6 and against whom the agreement is sought to be enforced.” (*J.B.B. Investment Partners, Ltd. v. Fair* (2014) 232 Cal.App.4th 974, 985). Section 664.6’s “requirement of a ‘writing signed by the parties’ must be read to apply to all parties bringing the section 664.6 motion and against whom the motion is directed.” (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 306; see *Sully-Miller Contracting Co. v. Gledson/Cashman Const., Inc.* (2002) 103 Cal.App.4th 30, 35-37 [“A written settlement

agreement is not enforceable under section 664.6 unless it is signed by all of the parties to the agreement, not merely the parties against whom the agreement is sought to be enforced.”)]. “A procedure in which a settlement is evidenced by one writing signed by both sides minimizes the possibility of ... dispute[s] and legitimizes the summary nature of the section 664.6 procedure.” (*Robertson v. Chen* (1996) 44 Cal.App.4th 1290, 1293).

III. ANALYSIS

Here, all requirements to enforce the settlement have been met. There was a meeting of the minds on all material terms, including the amount, scope and payment terms, including a monthly payment scheduled of the settlement. The parties signed and filed the stipulation containing all of the material terms. The stipulation and agreement is signed by all parties. Thus, the Court grants the motion to enforce and will enter a judgment amount of \$11,385.07 against Defendant Leon. The judgment amount is calculated as follows: total amount of \$10,875.25 plus \$509.80 in costs.

The motion is unopposed. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

IV. CONCLUSION

Based on the foregoing, and the motion being unopposed, the Court GRANTS the motion to enter a judgment under Code of Civil Procedure section 664.6. The judgment amount of \$11,385.07 is entered against Defendant Leon. The Court will prepare the formal Order.

Calendar Line # 8

Case Name Alpha Omega House Corp. vs The Board of Trustees of the Leland Stanford Junior University

Case No. 25CV473890

Demurrer

Before the court is defendant The Board of Trustees of The Leland Stanford Junior University’s demurrer to plaintiff’s complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

Leland and Jane Stanford (“Stanfords”) gifted land for the creation of a university to honor their son by executing a Founding Grant on November 11, 1885. (Complaint, ¶1). The Stanfords created the university through a trust that continues in force to this day. (Complaint, ¶2). The trustees are the fiduciaries responsible for implementing the Stanfords’ wishes for the beneficiaries of the Founding Grant. (*Id.*).

In 1903, the Santa Clara County Superior Court confirmed six separate Amendments to the Founding Grant made by Jane Stanford. (Complaint, ¶3). The first Amendment in 1897 directed that “student associations shall be allowed to build houses [on the leased lots].” (Complaint, ¶4). The second Amendment of May 31, 1899 addressed Jane Stanford’s wishes that student associations “shall be permitted to build houses for the use of the members. . .” (Complaint, ¶5).

Plaintiff Alpha Omega House Corporation (“AOHC”) entered into a Ground Lease [with defendant The Board of Trustees (“Trustees”) of The Leland Stanford Junior University (“University”)] in 1937. (Complaint, ¶9). The 1976 Ground Lease, at issue here, provided the University intended the Ground Lease to be “renewed indefinitely, as long as both Association and House remain active at Stanford.” (*Id.*; see also ¶90). Pursuant to paragraph 11(b) of the

Ground Lease, defendant University has an obligation to “make all reasonable efforts to provide alternative housing for the House and Association” if the Ground Lease is terminated by defendant University’s refusal to renew the Ground Lease under Paragraph 2. (Complaint, ¶107).

The Founding Grant and its Amendments constitute a binding, enforceable contract. (Complaint, ¶295). Plaintiff Alpha Omega House Corporation (“AOHC”) is a first or third party beneficiary to the Founding Grant and its Amendments. (Complaint, ¶296). The Founding Grant expressly authorized leases to associations such as AOHC; construction of buildings on the leased grounds; and “continued leasing” to these groups. (*Id.*). The failure of the defendant Trustees to renew the Ground Lease constitutes a breach of the Founding Grant and its Amendments. (Complaint, ¶307). As a result, plaintiff AOHC has been deprived of the Premises and its Building. (Complaint, ¶309).

Defendant Trustees have also breached the express requirements of paragraph 2 (to renew indefinitely) and paragraph 11(b) (alternate housing) of the parties’ Ground Lease. (Complaint, ¶319).

Defendant Trustee have also breached the implied covenant of good faith and fair dealing by, among other things, prohibiting the 2021 return of the Stanford Chapter of Sigma Chi to the University for September/ October Rush – necessary to generate Sigma Chi students who could be housed by AOHC; requiring Sigma Chi to go through a new “return” process, not included in their sanction, further delaying the return of the Sigma Chi Chapter; and gross mischaracterization of underlying facts and agreements to preclude a renewal of the parties’ Ground Lease. (Complaint, ¶324).

On August 28, 2025, plaintiff AOHC filed a complaint against defendant Trustees asserting causes of action for:

- (1) Breach of Contract – By Beneficiary of Stanford University’s Founding Grant;
- (2) Breach of Contract – Ground Lease;
- (3) Breach of the Implied Covenant of Good Faith and Fair Dealing

On October 23, 2025, defendant Trustees filed the motion now before the court, a demurrer to plaintiff AOHC’s Complaint.

II. LEGAL STANDARD

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s breach, and (4) the resulting damage to the plaintiff.” (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186; see also CACI, No. 303).

III. ANALYSIS

A. BREACH OF CONTRACT – FOUNDING GRANT

Plaintiff AOHC alleges the Founding Grant and its Amendments constitute a binding, enforceable contract. (Complaint, ¶295). It is well-settled that although a court “treats the demurrer as admitting all material facts properly pleaded, ... [t]he court does not, however, assume the truth of contentions, deductions or conclusions of law.” (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967). “[T]he existence of a contract is a question for the court to decide.” (*Bustamante v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 208).

Here, the court does not accept as true plaintiff AOHC’s assertion that the Founding Grant and its Amendments constitute a binding, enforceable contract. Since the Founding Grant and its first two Amendments form the basis for plaintiff AOHC’s allegations, the court hereby grants defendant Trustees’ request for judicial notice of their provisions.⁴ In doing so, the court views the Founding Grant as the creation of a trust. (See Prob. Code, § 15200, subd. (b))—“a trust may be created by ... [a] transfer of property by the owner during the owner’s lifetime to another

⁴ Exhibit 1 to the Request for Judicial Notice in Support of Stanford’s Demurrer to Plaintiff’s Complaint.

person as trustee.”) Moreover, plaintiff AOHC’s own allegation is that, “The Stanfords created the University through a trust that continues in force to this day.” (Complaint, ¶2).

More particularly, the Founding Grant established a charitable trust. (See Rest.3d, Trusts, §28—“Charitable trust purposes include ... the advancement of knowledge or education.”). The essence of a charitable trust is the indefiniteness of beneficiaries. (*Fay v. Howe* (1902) 136 Cal. 599, 601). In light of this court’s finding that the Founding Grant is a charitable trust instrument and not a contract, plaintiff AOHC’s attempts to characterize the Founding Grant and its Amendments as a contract and itself as an intended third party beneficiary of such a purported contract in order to claim standing⁵ are unavailing as conclusions of law.

A trust is a fiduciary relationship with respect to property in which the person holding legal title to the property--the trustee--has an equitable obligation to manage the property for the benefit of another--the beneficiary. . . . If the trustee violates any duty owed to the beneficiaries, the trustee is liable for breach of trust. (*Moeller v. Superior Court* (1997) 16 Cal.4th 1124, 1133-1134).

Here, plaintiff AOHC is not asserting a breach of the trust. Even if plaintiff AOHC had asserted a breach of the trust, defendant Trustees persuasively argue plaintiff AOHC has not adequately alleged standing to do so. (See Gov. Code, § 12598—“The primary responsibility for supervising charitable trusts in California, for ensuring compliance with trusts and articles of incorporation, and for protection of assets held by charitable trusts and public benefit corporations, resides in the Attorney General.” See also *L.B. Research & Education Foundation v. UCLA Foundation* (2005) 130 Cal.App.4th 171, 180-181—“the only person who can object to the disposition of the trust property is one having some definite interest in the property—he must be a trustee, or a cestui, or have some reversionary interest in the trust property.”).

For this reason, defendant Trustees’ demurrer to the first cause of action of plaintiff AOHC’s complaint on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of contract and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is SUSTAINED with 10 days’ leave to amend.

Defendant Trustees demur to the first cause of action on the additional ground that it is barred by a release found in the March 15, 2021 settlement agreement.⁶ The settlement agreement includes a mutual release whereby plaintiff

⁵ “[S]omeone who is not a party to [a] contract has no standing to enforce the contract or to recover extra-contract damages for wrongful withholding of benefits to the contracting party.” (*Gantman v. United Pacific Ins. Co.* (1991) 232 Cal.App.3d 1560, 1566). “A third party should not be permitted to enforce covenants made not for his benefit, but rather for others. He is not a contracting party; his right to performance is predicated on the contracting parties’ intent to benefit him.” (*Neverkovec v. Fredericks* (1999) 74 Cal.App.4th 337, 348). However, “under California’s third party beneficiary doctrine, a third party—that is, an individual or entity that is not a party to a contract—may bring a breach of contract action against a party to a contract only if the third party establishes not only (1) that it is likely to benefit from the contract, but also (2) that a motivating purpose of the contracting parties is to provide a benefit to the third party, and further (3) that permitting the third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 821 (*Goonewardene*)). “[The court must] carefully examine[] the express provisions of the contract at issue, as well as all of the relevant circumstances under which the contract was agreed to, in order to determine not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward.” (*Goonewardene, supra*, 6 Cal.5th at p. 830).

⁶ The court hereby GRANTS the Request for Judicial Notice in Support of Stanford’s Demurrer to Plaintiff’s Complaint, Exhibit 3. (See *Shine v. Williams-Sonoma, Inc.* (2018) 23 Cal.App.5th 1070, 1076).

AOHC “waives, releases and discharges [Trustees] ... from any and all suits, causes of action, liabilities, claims, judgments, damages, losses, demands, obligations, costs and expenses of whatever kind, known or unknown, contingent or non-contingent, that [Trustees] and [AOHC] ever had, have or may have against their respective Released Parties related in any way to the Ground Lease or Premises (collectively, ‘Released Claims’), except for the following, which in no event shall constitute Released Claims: (1) claims regarding any rights and obligations of [Trustees] or [AOHC] under the Ground Lease, to the extent not inconsistent with this Agreement, the Letter Agreement or the Stipulation, based on acts or omissions taking place after the Effective Date [March 15, 2021].”

“In general, a written release extinguishes any obligation covered by the release's terms, provided it has not been obtained by fraud, deception, misrepresentation, duress, or undue influence.” (*Skrbina v. Fleming Companies* (1996) 45 Cal.App.4th 1353, 1366). However, “[A] demurrer based on an affirmative defense will be sustained only where the face of the complaint discloses that the action is necessarily barred by the defense.” [Citation.]” (*Heshejin v. Rostami* (2020) 54 Cal.App.5th 984, 992-993).

Here, the court cannot determine from the face of the complaint and the judicially-noticed settlement agreement that this first cause of action is necessarily barred because, as plaintiff AOHC points out in opposition, the release by its very terms includes an exception and plaintiff AOHC has pleaded facts which may fall within the stated exception, i.e., claim regarding rights and obligations under the Ground Lease based on acts or omissions taking place after March 15, 2021. Likewise, the court finds defendant Trustees’ related argument, that the first cause of action is barred by the doctrine of res judicata, to be underdeveloped in that defendant Trustees have not demonstrated that this first cause of action is necessarily barred by res judicata.

B. BREACH OF CONTRACT – GROUND LEASE

Plaintiff AOHC’s second cause of action alleges, in relevant part, “The TRUSTEES have breached the express requirements of §2 (to renew indefinitely) and §11(b) (alternate housing) of the parties’ Ground Lease.” (Complaint, ¶319).

Defendant Trustees demur to this second cause of action by arguing, initially, that it did not breach section 2 of the Ground Lease. To support this argument, defendant Trustees ask the court to take judicial notice of the subject Ground Lease, as amended, and the parties’ subsequent Settlement Agreement as plaintiff AOHC cites to both of these documents without attaching them to the complaint. For the same reasons discussed earlier, the court hereby grants defendant Trustees’ request for judicial notice of the Ground Lease, as amended, and the Settlement Agreement. Defendant Trustees contends section 2 of the Ground Lease, as amended, has been superseded by the parties’ Settlement Agreement.

Section 2 of the Ground Lease, as amended, states, in relevant part:

... Unless written notice of non-extension is given by Association to Stanford ... or by Stanford to Association. ... , this Agreement shall automatically be extended for an additional one (1) year upon the same terms and conditions ... Stanford declares its intention to allow this Agreement to be extended indefinitely as long as both Association and the House remain active at Stanford University, but it is agreed and understood that Stanford reserves the right to give notice of non-extension for any reason in any year as above provided.

According to defendant Trustees, the above provision of the Ground Lease has been superseded by the following language from section 2 of the parties’ 2021 Settlement Agreement:

Under the terms of the Ground Lease, either Landlord or Tenant may provide notice of non-renewal of the Ground Lease ... Stanford gave notice of non-renewal on February 25, 2019. Under the terms of the Parties’ Ground Lease, the Ground Lease will therefore terminate at 5:00 p.m. (Pacific) on

August 31, 2023 (the “Termination Date”) unless the Parties prior to the Termination Date have executed a Ground Lease extension. Unless extended by Landlord and Tenant in writing before then, the Ground Lease and all terms and conditions therein, and Tenant’s right to occupy, possess and use the Premises, including the Building and the Grounds, shall terminate at 5:00 p.m. (Pacific) on August 31, 2023. Effective upon the Termination Date, Tenant hereby remises and quitclaims to Landlord, and Landlord hereby accepts, all of Tenant’s right, title and interest in the Premises, including in the Grounds and in the Building, without any payment for same due to Tenant from Landlord. . . . Tenant agrees not to challenge the Termination Date or the requirement that it vacate the Premises by that date on any basis or in any forum if the Ground Lease has not been extended by Landlord in writing.

It is understood that Tenant intends to seek an extension or renewal of the Ground Lease and/or negotiate a new lease for the Premises with Landlord. Nothing in this Settlement Agreement is intended to preclude such efforts or requests by Tenant. Likewise, nothing in this Settlement Agreement shall obligate Landlord to agree to any request for an extension, renewal, new lease or other agreement of any kind.

Defendant Trustees contend the last sentence above precludes any claim by plaintiff AOHC for breach of contract based upon a refusal to extend or renew the Ground Lease. In opposition, plaintiff AOHC contends this provision of the Settlement Agreement was not an “express” modification of section 2 of the Ground Lease. Plaintiff AOHC suggests this provision of the Settlement Agreement does not operate to supersede section 2 of the Ground Lease entirely. Plaintiff AOHC suggests the court should continue to enforce that portion of section 2 of the Ground Lease which states defendant Trustees’ “intention to allow this Agreement to be extended indefinitely.” Plaintiff AOHC points to section 11 of the Settlement Agreement which states, “This Agreement shall not be deemed to modify or otherwise affect the rights of either Party pursuant to the Ground Lease, except to the extent expressly set forth herein.”

The arguments presented by the parties require the court to engage in contract interpretation in order to ascertain what the parties intended under sections 2 and 11 of the Settlement Agreement vis-à-vis the Ground Lease. “Under statutory rules of contract interpretation, the mutual intention of the parties at the time the contract is formed governs interpretation. Such intent is to be inferred, if possible, solely from the written provisions of the contract. The ‘clear and explicit’ meaning of these provisions, interpreted in their ‘ordinary and popular sense,’ unless ‘used by the parties in a technical sense or a special meaning is given to them by usage’, controls judicial interpretation. Thus, if the meaning a layperson would ascribe to contract language is not ambiguous, we apply that meaning.” (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 608; internal citations omitted.).

“Where the meaning of the words used in a contract is disputed, the trial court must provisionally receive any proffered extrinsic evidence which is relevant to show whether the contract is reasonably susceptible of a particular meaning. (*Pacific Gas & E. Co. v. G. W. Thomas Drayage etc. Co.* (1968) 69 Cal.2d 33, 39–40 [69 Cal. Rptr. 561, 442 P.2d 641]; *Pacific Gas & Electric Co. v. Zuckerman* (1987) 189 Cal. App. 3d 1113, 1140–1141 [234 Cal. Rptr. 630]). Indeed, it is reversible error for a trial court to refuse to consider such extrinsic evidence on the basis of the trial court’s own conclusion that the language of the contract appears to be clear and unambiguous on its face. Even if a contract appears unambiguous on its face, a latent ambiguity may be exposed by extrinsic evidence which reveals more than one possible meaning to which the language of the contract is yet reasonably susceptible. (*Pacific Gas & E. Co. v. G. W. Thomas Drayage etc. Co.*, *supra*, 69 Cal.2d at p. 40 & fn. 8; *Pacific Gas & Electric Co. v. Zuckerman*, *supra*, 189 Cal. App. 3d at pp. 1140–1141.)” [Footnote omitted.].

The interpretation of a contract involves “a two-step process: ‘First the court provisionally receives (without actually admitting) all credible evidence concerning the parties’ intentions to determine ‘ambiguity,’ i.e., whether the language is “reasonably susceptible” to the interpretation urged by a

party. If in light of the extrinsic evidence the court decides the language is “reasonably susceptible” to the interpretation urged, the extrinsic evidence is then admitted to aid in the second step—interpreting the contract. [Citation.]’ (*Winet v. Price* (1992) 4 Cal.App.4th 1159, 1165 [6 Cal. Rptr. 2d 554]). The trial court’s determination of whether an ambiguity exists is a question of law, subject to independent review on appeal. (*Ibid.*). The trial court’s resolution of an ambiguity is also a question of law if no parol evidence is admitted or if the parol evidence is not in conflict. However, where the parol evidence is in conflict, the trial court’s resolution of that conflict is a question of fact and must be upheld if supported by substantial evidence. (*Id.* at p. 1166). Furthermore, “[w]hen two equally plausible interpretations of the language of a contract may be made . . . parol evidence is admissible to aid in interpreting the agreement, thereby presenting a question of fact which precludes summary judgment if the evidence is contradictory.” (*Walter E. Heller Western, Inc. v. Tecrim Corp.* (1987) 196 Cal. App. 3d 149, 158 [241 Cal. Rptr. 677]).” [Footnote omitted.].

...

The fundamental goal of contractual interpretation is to give effect to the mutual intention of the parties.” [Footnote omitted.]. “The mutual intention to which the courts give effect is determined by objective manifestations of the parties’ intent, including the words used in the agreement, as well as extrinsic evidence of such objective matters as the surrounding circumstances under which the parties negotiated or entered into the contract; the object, nature and subject matter of the contract; and the subsequent conduct of the parties. (Civ. Code, §§ 1635–1656; Code Civ. Proc., §§ 1859–1861, 1864; *Hernandez v. Badger Construction Equipment Co.* (1994) 28 Cal.App.4th 1791, 1814 [34 Cal. Rptr. 2d 732]; 1 Witkin, Summary of Cal. Law (9th ed. 1987) Contracts, §§ 688–689, pp. 621–623.)” [Footnote omitted.].

(*Wolf v. Superior Court* (2004) 114 Cal.App.4th 1343, 1350-1351 and 1356-1357).

In *Aragon-Haas v. Family Security Ins. Services, Inc.* (1991) 231 Cal.App.3d 232, 239 (*Aragon*), the court wrote, “Where an ambiguous contract is the basis of an action, it is proper, if not essential, for a plaintiff to allege its own construction of the agreement. So long as the pleading does not place a clearly erroneous construction upon the provisions of the contract, in passing upon the sufficiency of the complaint, we must accept as correct plaintiff’s allegations as to the meaning of the agreement.” “Where a complaint is based on a written contract which it sets out in full, a general demurrer to the complaint admits not only the contents of the instrument but also any pleaded meaning to which the instrument is reasonably susceptible. While plaintiff’s interpretation of the contract ultimately may prove invalid, it was improper to resolve the issue against her solely on her own pleading. In ruling on a demurrer, the likelihood that the pleader will be able to prove his allegations is not the question.” (*Aragon, supra*, 231 Cal.App.3d at p. 239; internal quotations removed).

On demurrer, the court does not find plaintiff AOHC’s interpretation of the Settlement Agreement to be clearly erroneous. It is the court’s opinion that, under the principles enunciated above, the issue of contract interpretation will be more appropriately determined at a later stage of the proceedings. As such, defendant Trustees’ demurrer to the second cause of action on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of contract and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is OVERRULED.

The court need not decide whether section 11(b) of the Ground Lease can serve as the basis for a breach of contract since a demurrer does not lie to a portion of a cause of action. (See *Financial Corp. of America v. Wilburn* (1987) 189 Cal.App.3d 764, 778—“[A] defendant cannot demur generally to part of a cause of action;” see also *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682—“A demurrer does not lie to a portion of a cause of action;” *Pointe San Diego Residential Community, L.P. v. Procopio, Cory, Hargreaves & Savitch, LLP* (2011) 195

Cal.App.4th 265, 274—“A demurrer challenges a cause of action and cannot be used to attack a portion of a cause of action.”).

Except as discussed above, the request for judicial notice in support of Stanford’s demurrer to plaintiff’s complaint is DENIED as unnecessary. The request for judicial notice in support of Alpha Omega House Corporation’s opposition to Stanford University’s demurrer to plaintiff’s complaint is DENIED as unnecessary. (See *Duarte v. Pacific Specialty Insurance Company* (2017) 13 Cal.App.5th 45, 51, fn. 6—denying request where judicial notice is not necessary, helpful or relevant).

C. BREACH OF THE IMPLIED COVENANT OF GOOD FAITH AND FAIR DEALING

As defendant Trustees acknowledge, the third cause of action for breach of the implied covenant of good faith and fair dealing is premised, in part, upon the allegation that defendant Trustees acted in bad faith in refusing to renew the Ground Lease based on “gross mischaracterization of underlying facts and agreements.” (Complaint, ¶324, sub. (g)).

Defendant Trustees’ argument in support of demurrer to this third cause of action is essentially that there cannot be a breach of an implied covenant in a contract where express provisions of that contract allow the party to engage in the very conduct purportedly forbidden by the implied covenant. In the court’s view, this is essentially the same argument defendant Trustees make, above, with regard to breach of the Ground Lease based upon defendant Trustees’ failure to renew/ extend, i.e., defendant cannot be in breach for doing that which is expressly allowed under a contract.

Thus, for the same reasons discussed above, defendant Trustees’ demurrer to the third cause of action on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of implied covenant of good faith and fair dealing and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is OVERRULED.

IV. CONCLUSION

Based on the foregoing, the Court rules as follows:

Defendant Trustees’ demurrer to the first cause of action of plaintiff AOHC’s complaint on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of contract and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is SUSTAINED with 10 days’ leave to amend.

Defendant Trustees’ demurrer to the second cause of action on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of contract and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is OVERRULED.

Defendant Trustees’ demurrer to the third cause of action on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for breach of implied covenant of good faith and fair dealing and on the ground that the pleading is uncertain [Code Civ. Proc., §430.10, subd. (f)] is OVERRULED.

The Court will prepare the formal Order.